3.1.1 Revenue, costs and profit

Unit 3.1 What is business? · 8 key points

- **Revenue:** selling price × quantity sold (also called turnover or sales)
- **Fixed costs:** do not change with output in the short run, e.g. rent, salaries
- **Variable costs:** change directly with output, e.g. raw materials, packaging
- **Total variable costs:** variable cost per unit × quantity
- **Total costs:** fixed costs + total variable costs
- **Profit:** total revenue − total costs
- **Why profit matters:** reward for risk, source of finance (retained profit), signal to investors, measure of performance
- **Trap:** profit is not cash; a profitable business can still run out of cash